

T A S T Y B I T E S

Product Profitability & Pricing Analysis

FY 2023 - 2024 | Business Intelligence Report

Food Delivery Order Analysis • Beverages, Snacks & Meals

Rs 1.03 Cr

Total Revenue

Rs 44.9 L

Profit Generated

42,000

Orders Analyzed

20

Products, 3 Categories

PROJECT OBJECTIVES

1

Maximize Profitability

Identify which products and categories truly drive profit, not just revenue, and reallocate promotional focus toward them.

2

Fix the Discount Leak

High discount tiers (16-25%) show margin collapsing to 23.1% vs 48.9% at no discount - quantify and cap the damage.

3

Right-Size Pricing

Flag high-volume, thin-margin products such as Loaded Nachos and French Fries for cost or price review without hurting demand.

KEY KPIs TRACKED: Revenue per Product • Profit Margin % • Units Sold • Discount Impact • Profit Contribution % • Average Order Value

Business Scenario

TastyBites is a multi-city food delivery app selling Beverages, Snacks, and Meals. Management has observed that some products generate strong sales volume yet contribute little to profit, while others quietly drive the bulk of margin. This report analyzes two years of order-level data (Jan 2023 - Dec 2024) to separate revenue drivers from profit drivers, evaluate how discounting policy affects margin, and recommend pricing and bundling moves to lift overall profitability without hurting customer demand.

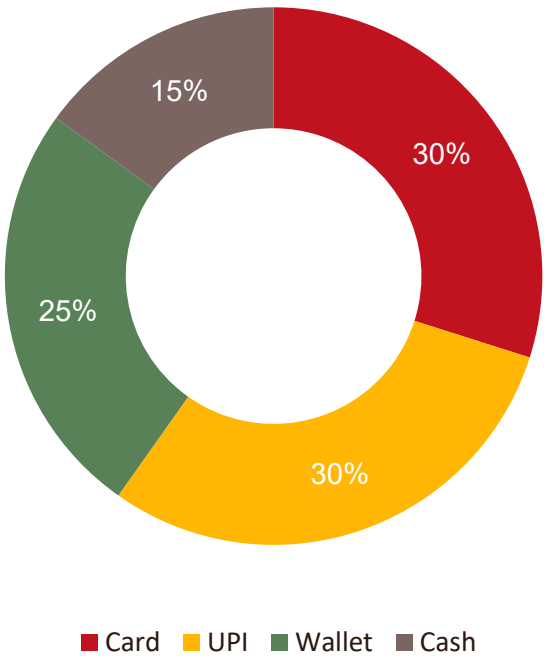
Assumptions:

Only the last two years of order data were available. Promotional discounts are capped at 25% by company policy. Profit is calculated as Revenue minus product Cost; delivery costs are excluded. Customers are assumed price-sensitive to increases above 10%.

EXECUTIVE DASHBOARD



Payment Mode Mix (by Revenue)

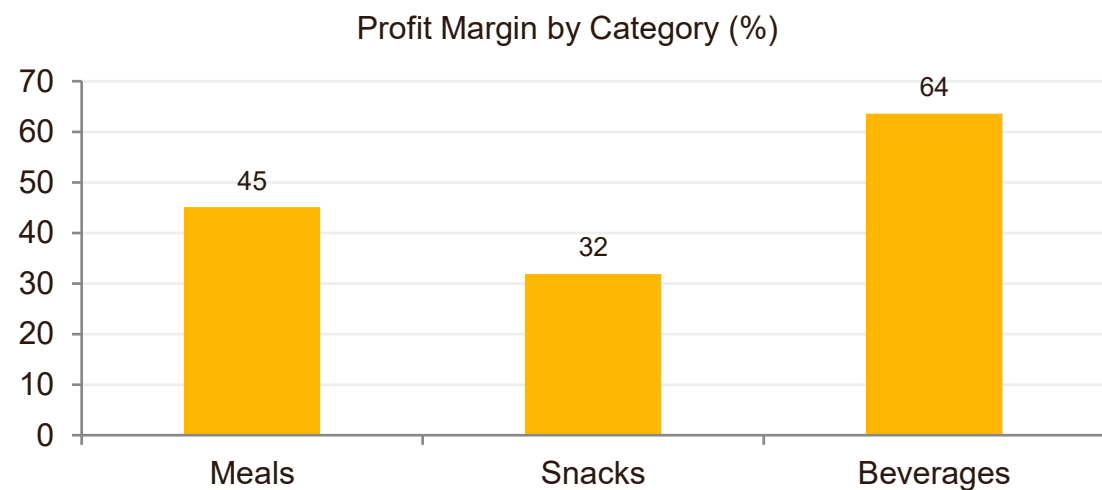
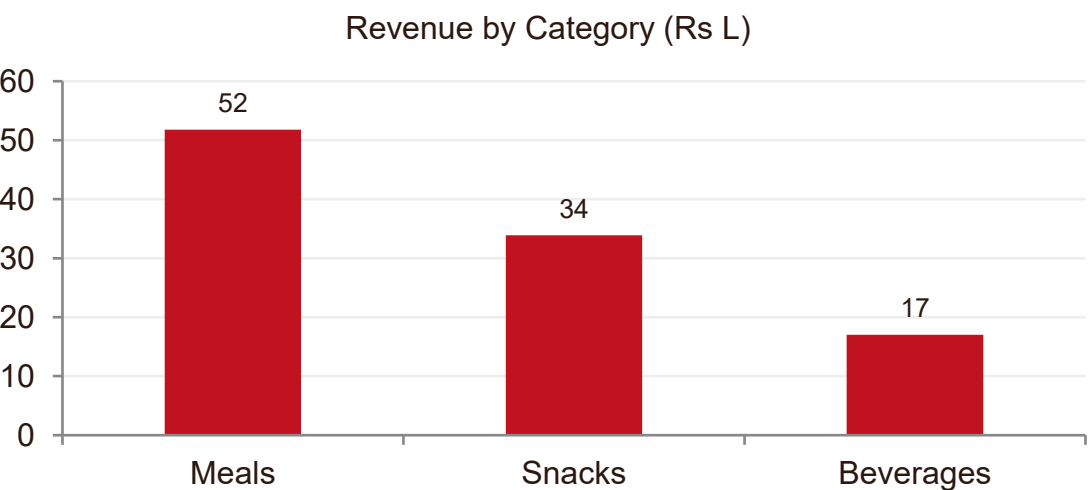


Category Snapshot

Category	Revenue Share	Margin %
Meals	50.4%	45.1%
Snacks	33.0%	31.9%
Beverages	16.6%	63.6%

New customers 40.0% • Returning 55.8% • Unclassified 4.2% (data-quality gap at checkout)

Q1: PRODUCT CATEGORY PERFORMANCE



Meals Lead Revenue

Contributes Rs 51.78 L (50.4% of total) across 31,719 units - the biggest and most consistent revenue base.

Beverages Win on Margin

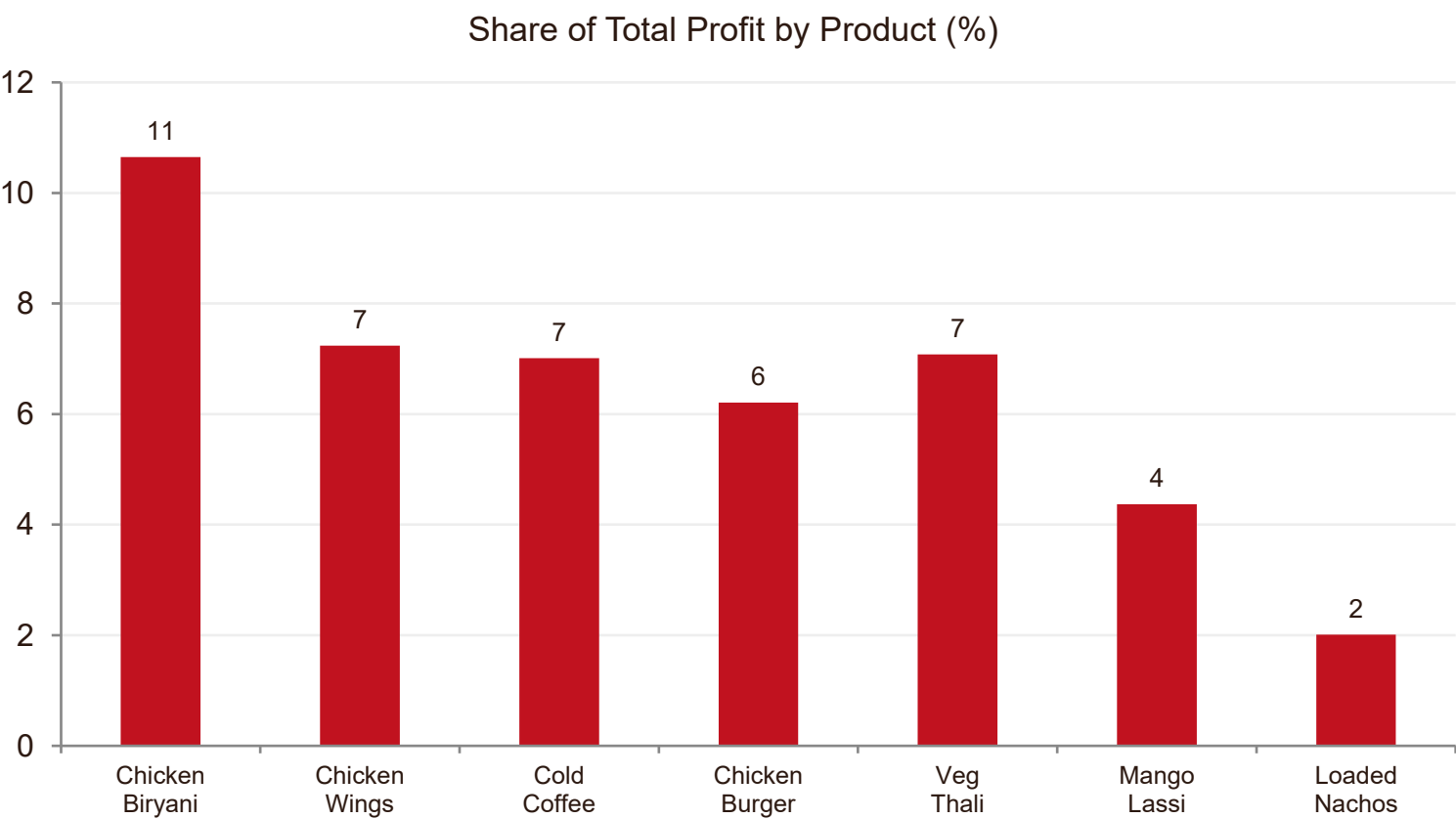
63.6% profit margin, best in class, despite the lowest revenue share. Strong candidate to scale via combos.

Snacks: Volume Without Profit

33.0% of revenue but only 31.9% margin - the category's average discount (8.8%) is the highest of the three.

Units sold: Meals 31,719 • Snacks 29,799 • Beverages 23,255

Q1/Q3: TOP PROFIT-CONTRIBUTING PRODUCTS

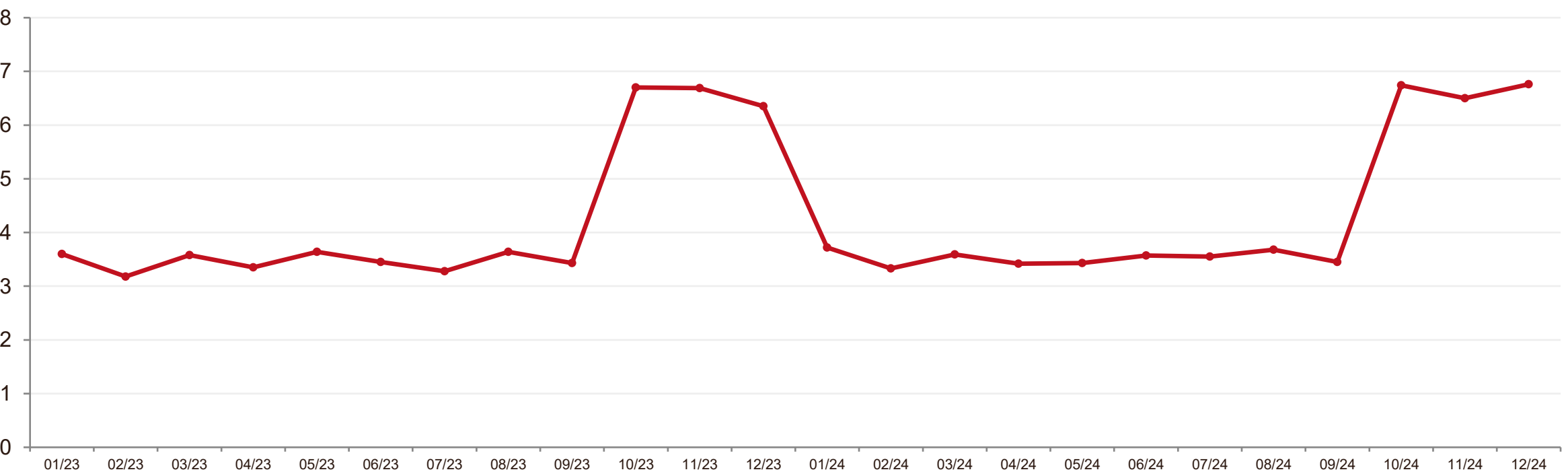


Highest-Margin Products	
Masala Chai	69.5%
Fresh Lime Soda	69.3%
Mango Lassi	65.6%
Cold Coffee	63.8%
Veg Samosa (4pc)	62.2%
Choc. Milkshake	60.5%

Insight: Beverages dominate the margin leaderboard (5 of top 6), while Chicken Biryani alone drives 10.65% of total profit - the single most valuable SKU.

MONTHLY REVENUE TREND

Monthly Revenue - Jan 2023 to Dec 2024 (Rs L)



Festive Surge

Oct-Dec revenue jumps to ~Rs 6.7 L/month vs ~Rs 3.5 L in other months - a clear seasonal step-up around Diwali and year-end.

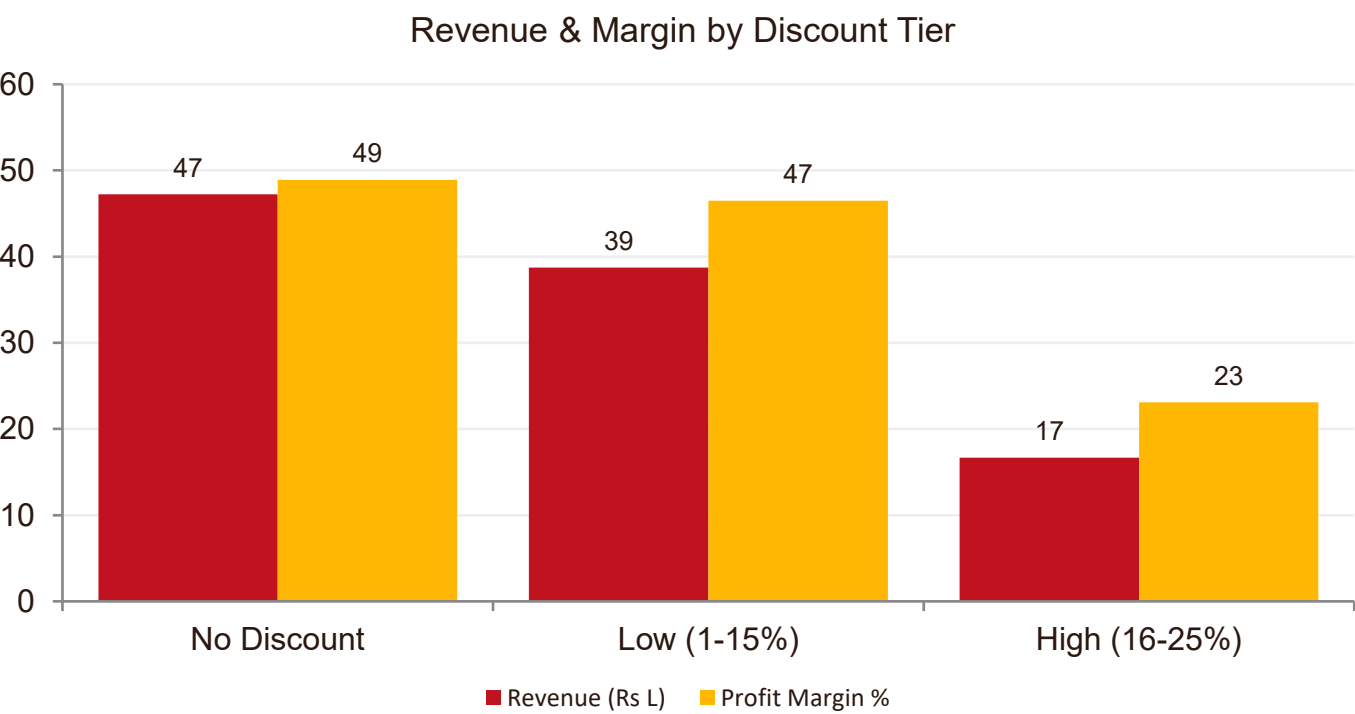
Peak Month

December 2024 is the strongest single month in the dataset at Rs 6.76 L, capping a consistent 2-year festive pattern.

Discounting Risk

Snacks carry the deepest average discount (8.8%) and are likely to see even heavier promotion during this festive window - watch margin closely.

Q2: IMPACT OF DISCOUNTING ON MARGINS



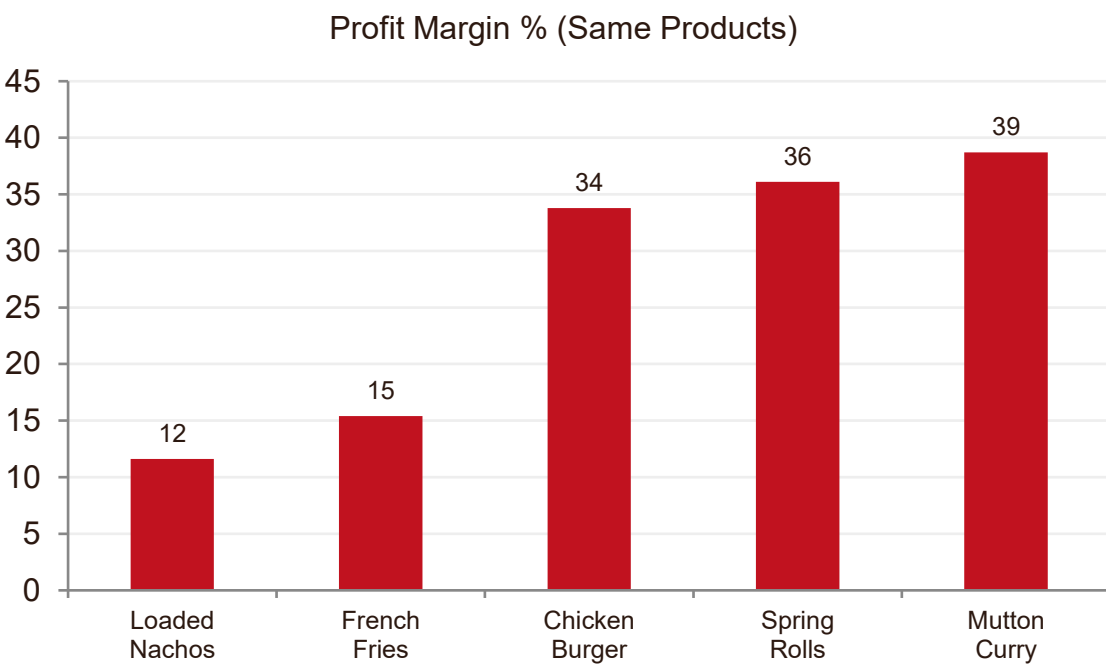
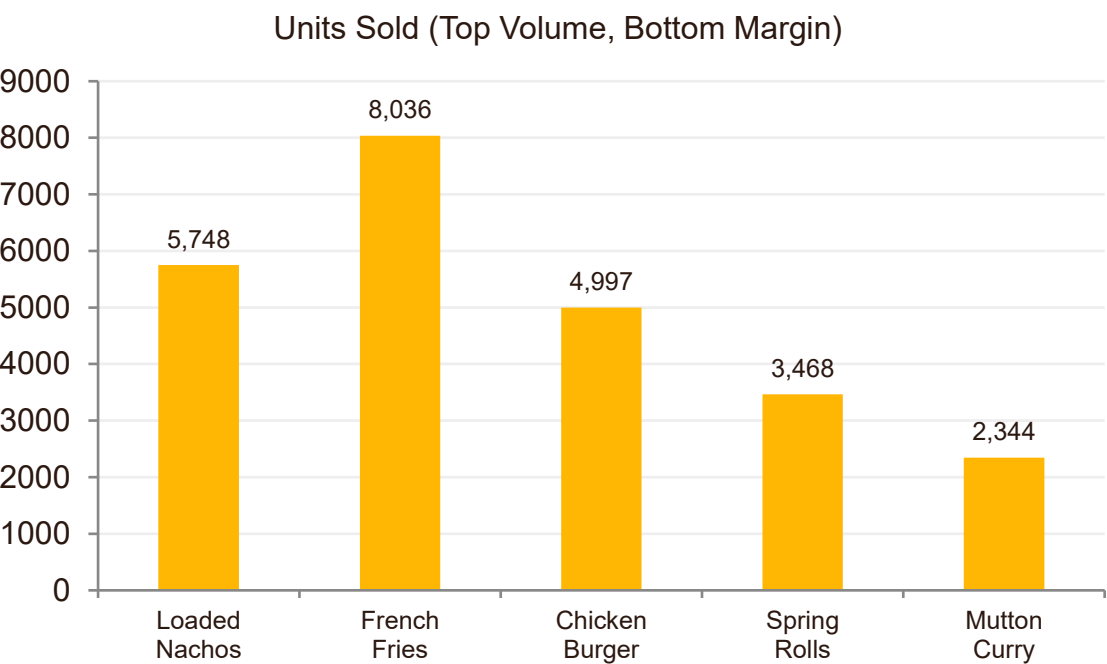
Discount Tier Detail

Tier	Orders	Margin
No Discount	18,897	48.9%
Low (1-15%)	16,056	46.5%
High (16-25%)	7,047	23.1%

Rs 4.30 L estimated profit lost to high-discount (16-25%) orders vs. what a no-discount margin would have delivered on the same revenue.

Discount Policy Recommendation: Cap standard promotional discounts near 15%. Snacks average the deepest discount (8.8%) yet the lowest margin - move Snacks promotions from blanket %-off to combo/bundle offers that protect per-item margin.

Q3/Q4: HIGH-VOLUME, LOW-PROFIT PRODUCTS



The Nachos & Fries Problem

Loaded Nachos and French Fries together account for 16.3% of all units sold and 13.9% of revenue - but only 4.2% of total profit. High ingredient cost relative to price, combined with above-average discounting (~11%), squeezes margin to 11-15%.

Recommended Price Adjustments

- Loaded Nachos:** raise price ~8% (below the 10% price-sensitivity threshold) or reduce portion cost.
- French Fries:** cap discount at 10% instead of current ~11% average; pair with a high-margin drink in combos.
- Chicken Burger Combo:** healthy volume and mid-tier margin - safe to hold price, monitor only.

Q5: CUSTOMER SEGMENTS & PROMOTION STRATEGY

Returning Customers

55.8% of orders

Similar AOV to new customers (Rs 244.5). Reward loyalty instead of discounting: streak bonuses, free-delivery milestones, early access to new menu items.
Recommended discount: $\leq 10\%$.

New Customers

40.0% of orders

AOV Rs 243.9. A capped 15% first-order welcome offer, followed by reminder pushes at Day 7, 30, and 60 to convert into repeat buyers.

Unclassified / Missing

4.2% of orders

Missing CustomerType at checkout - a data-quality gap to fix at the point of sale. Treat as general audience for broad seasonal campaigns meanwhile.

Bundling & Promotion Recommendations

- Pair Loaded Nachos or French Fries with a high-margin Beverage (Masala Chai, Fresh Lime Soda) in a fixed-price combo to lift blended margin without a visible discount.
- Promote Chicken Biryani and Cold Coffee as a "Meal + Drink" bundle - the two single biggest profit contributors - to anchor festive-season campaigns.
- Replace blanket Snacks discounts with a "buy 2 snacks, get a Beverage at 50% off" bundle - keeps headline snack price intact while still feeling like a deal.

STRATEGIC RECOMMENDATIONS

QUICK WINS (0-3 months)

- Cap Snacks discounts near 10-12% and move remaining margin protection into combo bundling.
- Raise Loaded Nachos price ~8% and re-cost French Fries portions to lift both above 20% margin.
- Launch a Biryani + Cold Coffee festive combo ahead of the Oct-Dec surge.
- Fix checkout data capture so CustomerType is no longer missing for ~4% of orders.

LONG-TERM (3-12 months)

- Build a live KPI dashboard tracking revenue, margin, and discount impact by product and category.
- Expand the Beverages menu (best margin, lowest volume share) through app-exclusive combos.
- Introduce quarterly product-level margin reviews so cost creep is caught before it erodes pricing.
- Pilot a loyalty points program weighted toward Returning customers to reduce reliance on discounting.

TASTYBITES

Thank You

Prepared by: Hariharan | Data Analytics Practice Project

Rs 1.03 Cr

Total Revenue

43.8%

Avg Margin

42,000

Orders Analyzed

Rs 4.30 L

Recoverable Margin